ZAKHEERA AI SOLUTIONS (PRIVATE) LIMITED

Compensation and Payroll Guide

Salary, tax, provident fund, bonuses and allowances

Policy ID	ZAI-HR-CP-003
Version	2.2
Effective date	1 January 2024
Policy owner	Human Resources and Finance (Payroll)
Applies to	Permanent and probationary employees
Approved by	Chief Executive Officer and Head of Human Resources
HR contact	hr@zakheera.ai | Extension 2200 | HR Helpdesk on the ZakheeraHR portal

1. Purpose

This guide explains how ZAKHEERA pays its employees: salary structure, payment dates, deductions, tax, provident fund, bonuses, increments, allowances and how to raise payroll queries. It applies to permanent and probationary employees.

2. Salary Structure

Monthly gross salary is made up of the following components. Percentages apply to gross salary.

Component	Share of gross	Taxable	Notes
Basic salary	60%	Yes	Base for provident fund, gratuity, leave encashment and bonuses
House rent allowance	30%	Exempt portion as per tax law	Combined basic plus allowances equal 100% of gross
Utilities allowance	10%	Yes	Fixed with the gross
Medical	In kind	No	Provided as group health insurance, not paid in cash

3. Pay Cycle

- Salary is paid on the **last working day of each month** by bank transfer to the employee's registered account. If it falls on a bank holiday, it is paid the previous working day.
- The payroll cut-off for attendance, leave and claims is the **20th** of each month. Items submitted after the 20th are processed in the next cycle.
- Payslips are available in ZakheeraHR under Payroll on the payment date. Paper payslips are not issued.
- Bank account changes must be submitted to payroll@zakheera.ai with a cancelled cheque or bank letter by the 15th of the month to take effect that month.
- New joiners receive their first salary pro-rata from the joining date, paid with the next payroll cycle if they join after the 20th.

4. Deductions

Deduction	Rate / basis	Remarks
Income tax (withholding)	As per FBR salary tax slabs for the tax year	Deducted monthly on projected annual taxable income and deposited with FBR
Provident Fund (employee)	10% of basic salary	Starts after confirmation, voluntary additional contribution up to 5% allowed
EOBI (employee)	As per statutory rate	Deducted and deposited as required by law
Loan / advance recovery	As per approved schedule	Maximum 25% of net salary per month
Unpaid leave / absence	Gross divided by 30 per day	Applied to unapproved or unpaid absence
Late arrival adjustment	Half day casual leave from 4th late in a month	See Employee Handbook

Tax certificates (Form of salary withholding) are issued by 31 July each year for the previous tax year (1 July to 30 June). Employees must provide their NTN. Filers and non-filers are taxed at different rates under law, so please ensure you are on the active taxpayer list.

5. Provident Fund

- The Company operates a recognised contributory Provident Fund. The employee contributes 10% of basic salary and the Company matches 10%.
- Employer contributions vest as follows: 50% after 2 years of service, 100% after 3 years. Employee contributions are always fully owned by the employee.
- Withdrawals are paid on separation within 30 days of the final settlement. Partial loans against the fund of up to 50% of the employee's own balance are available after 3 years of service once during employment.

6. Gratuity and EOBI

Employees who complete at least 3 years of continuous service receive gratuity on resignation, retirement, redundancy or death. The amount is one month's last drawn basic salary for each completed year of service. Gratuity is not paid on dismissal for gross misconduct. EOBI and Social Security contributions are made by the Company as required by law and are not deducted from gratuity.

7. Bonuses

Bonus	Amount	Eligibility	Timing
Eid bonus	50% of basic salary per Eid (Eid ul Fitr and Eid ul Adha)	Confirmed employees on payroll on the 1st of Ramadan or Dhul Hijjah, pro-rata for under 12 months of service	Paid with salary before Eid
Annual performance bonus	0 to 3 months of basic salary depending on rating and Company results	Rating 3 or above, minimum 6 months of service in the review year	Paid in July with the annual cycle
Referral bonus	PKR 30,000 for G2 to G4 hires; PKR 60,000 for G5 and above	Referrer must be a permanent employee, paid after the new hire completes 6 months	Next payroll after eligibility
Spot award	PKR 5,000 to 25,000	Manager nomination for exceptional work, approved by HR	Within 30 days

8. Annual Increments and Promotions

The compensation review takes place once a year, effective 1 July. Increments are linked to performance rating and compensation position in the pay range. Details of the matrix are in the Performance Review and Appraisal Policy. Promotions are effective on 1 July or 1 January, and carry a minimum 8% basic increase. Employees on a Performance Improvement Plan are not eligible for increments.

9. Allowances and Reimbursements

Allowance	Amount	Who
Remote work internet and power allowance	PKR 5,000 per month	Hybrid and remote employees approved under the Remote and Hybrid Work Policy
Mobile allowance	PKR 3,000 per month	G5 and above, and client-facing roles
Conveyance allowance	PKR 10,000 per month	G1 to G3 who do not use Company transport
Certification and learning	Up to PKR 150,000 per year	Confirmed employees, with approval and a 12 month service bond for amounts over PKR 75,000
Night shift allowance	PKR 1,500 per night	Employees required to support production systems 10 PM to 6 AM
On-call allowance	PKR 20,000 per week of on-call duty	Designated Support and DevOps engineers

10. Overtime

Employees in G1 to G3 who are required to work beyond 9 hours on a working day or on a weekend, with prior manager approval, receive time off in lieu on a 1:1 basis within 30 days. Employees in G4 and above are not eligible for overtime. Work on a public holiday is compensated as described in the Leave Policy.

11. Salary Advances and Loans

- Confirmed employees may request a salary advance of up to one month's net salary once every 6 months for emergencies. It is recovered over a maximum of 3 months.
- A Company loan of up to 4 months of basic salary is available after 2 years of service for medical, education, marriage or housing needs, recovered over up to 24 months with no mark-up.
- Loans must be cleared before final settlement. Any outstanding balance is deducted from dues.

12. Salary Confidentiality and Letters

Salary information is confidential. Employees may not disclose or discuss others' salaries. Salary certificates, bank letters and visa letters are issued by HR within 3 working days of a request through ZakheeraHR.

13. Payroll Errors and Queries

Report suspected payroll errors to payroll@zakheera.ai within 30 days of the payslip date. Overpayments will be recovered, normally in instalments agreed with the employee over up to 3 months. Underpayments are corrected in the next cycle or sooner if the shortfall is more than 10% of net pay. Unresolved issues can follow the Grievance and Escalation Procedure.

14. Frequently Asked Questions

Q: When is salary paid?

A: On the last working day of each month. If that is a bank holiday it is paid on the previous working day.

Q: What is the cut-off date for claims and attendance corrections?
A: The 20th of the month. Later items move to the next month.

Q: How much does the Company contribute to the provident fund?
A: 10% of basic salary, matching the employee's 10%. Employer contributions vest 50% after 2 years and 100% after 3 years.

Q: How much is the Eid bonus?
A: 50% of basic salary for each Eid, for confirmed employees, pro-rata if you have less than 12 months of service.

Q: When do I become eligible for gratuity?
A: After 3 completed years. It is one month's last drawn basic salary per completed year.

Q: What is the monthly remote work allowance?
A: PKR 5,000 per month for approved hybrid and remote employees.

Q: How fast can I get a salary certificate?
A: Within 3 working days of requesting it on ZakheeraHR.

Q: How much of my salary can be deducted for loan recovery?
A: A maximum of 25% of net monthly salary.